

Danger In Dairy Industry Of Bangladesh

In 1971, Bangladesh produced about 1 lac. metric tons of milk, which increased to 70 lac. metric tons in 2016.

In 2023-24, milk production in Bangladesh was 13 million metric tons, while the demand for milk was 15 million tons - a deficit of about 15%.

Due to the underdeveloped dairy sector, domestic production cannot meet domestic demand. Therefore, milk powder has to be imported under free trade.

Consumer Benefit: Middle class consumers in Bangladesh prefer imported milk powder because imported milk powder is much cheaper. Quality, reliability, storage issues and health issues are other reasons, due to which consumers are benefited by imported milk powder.

The Problems Of Cheap Imports

A major problem facing Bangladesh's milk industry is the large amount of imported milk powder. Whole milk powder is sold directly to consumers, while skimmed milk powder is used to make dairy products. This costs the country a lot — back in 2007-08, Bangladesh spent Taka 10.5 billion to import 41,000 tonnes of milk powder. Overall, about 27% of the country's milk needs are met through imports, with 20% to 50% of skimmed milk powder coming from the EU.

With proper support, local farmers could produce this milk instead. But imported milk powder is often cheaper and heavily advertised, making it harder for local producers to compete—especially in cities, where importers have strong influence. The price of fresh milk in Bangladesh is also affected by the price of milk powder. Because, milk powder is a substitute for fresh milk.

The presence of EU powdered milk on the global market creates unfair competition. It holds back the growth of dairy industries in developing countries and discourages local farmers from increasing production to meet rising demand.

Milk Vita: Bangladesh's Milk Vita corporation was established in early 1970's. By the mid-1980s, Milk Vita cooperative had nearly collapsed, mainly due to unfair competition from cheap imported milk powder from Europe. In the late 1970s, Milk Vita had grown steadily, collecting 15 million litres of milk a year from about 36,000 small farmers. But imports from Europe, heavily subsidized and sold far below real cost, flooded the market. As a result, Milk Vita's collection dropped to under 3 million litres a year. At that time____

- Imported milk was selling at 1/3 of the cost of milk production in Bangladesh. And
- Milk powder was being sold for less than 20% of its actual cost in Europe.



Bangladesh's dairy sector is still underdeveloped, so local milk production can't meet the growing demand. Even though, the middleclass consumers somewhat benefitted from imported milk, poorer people usually consume less milk due to high prices and limited access. Boosting local production of good-quality fresh milk could help address these issues.

However, milk powder imports increase competition with domestic milk producers. Local farmers must compete with over subsidized low priced imported milk powder which reduced incentives for domestic investment and expansion, specially for small producers from producing more milk to satisfy local demands. As a result, dairy sector is declining over 30 years.

Looking at recent price, it is important to note that - although local milk is currently slightly cheaper than imported milk, imported milk powder is not only comparable in terms of price, but also more intensively marketed than local milk.

The Role of state

To protect local dairy farmers, the Bangladeshi government placed tariffs on imported milk powder.

- The tariff rate was 75% in 2007. However, these tariffs have dropped sharply—from 75% in 2007 to a proposed 5% in post 2007's budget.
- This sparked protests from local producers, as these tariffs are their main protection against cheap, subsidized milk powder from developed countries, especially the EU.
- The tariff rate is 25% in recent budget. (2023-24)

The government no longer controls milk prices and ended direct subsidies to farmers in 1996. Now, only Milk Vita receives government support through low-interest loans, grants, and project funding. While this helps Milk Vita, it makes it hard for other milk companies to compete.

Despite the dairy sector contributing about 2.7% to the country's GDP, it receives only 0.27% of the national budget. To help dairy farmers and grow the sector, the government needs to create a well-rounded plan and invest more in developing the industry.



Question: In recent times, the dairy farmers in Bangladesh have been seen to throw their produced milk on the street, demanding for high protection for the local dairy farming. The dairy association of Bangladesh has demanded a high tariff of as much as 50 percent on the imported milk products. What is your opinion on protectionism in the dairy industry.

Answer: The recent protests by dairy farmers in Bangladesh—pouring their milk on the streets—highlight a growing demand for protective policies in the local dairy industry. The Bangladesh Dairy Association has called for nearly a 50% tariff on imported powdered milk. Here's an evaluation of such protective policies in the context of the dairy industry:

[First, explain the EU subsidies on their dairy farm and how these subsidies negatively affect the dairy industry of Bangladesh briefly.]

As Bangladeshi dairy farmers are hurting, so the Protectionist policy may be justified.

Arguments in Favor of Protective Policies:

Supporting Local Farmers: The influx of cheap imported powdered milk can push the small and medium scale farmers out of the market, causing severe financial losses. Protectionist policy will support them.

Self-sufficiency and Food Security: Enhancing local production improves national food security and nutritional standards. Reducing import dependence can lead to greater self-reliance.

Impact on Rural Economy: Dairy farming is a key source of income for many rural families. Without protection, these communities risk losing their livelihoods, negatively impacting the rural economy.

Encouraging Investment: When farmers see government support, they are more likely to invest in expanding and modernizing their farms, increasing overall production.

In somewhat, protective Policies can also affect inversely. The policy can lead to____

Higher Prices for Consumers, Perpetuating Inefficiency, Trade Complications & Corruption and Misuse.

In a developing country like Bangladesh, temporary and well-structured protection for local industries can be justified. Along with the protective policies, the government should take some other steps that will be helpful. Such as____

- Create a roadmap for gradually reducing import tariffs.
- Provide support to local farmers in skills, technology, and market access.
- Increase investment in milk preservation and processing infrastructure.
- Build a transparent and competitive dairy market benefiting both local and global stakeholders.

